

DECENTRALIZED MASTERS

MARKET UPDATE

Monday Edition

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Decentralized Masters

NFP -23K

SEPT HIKE FLIPPED

CPI WED 8:30

BTC \$64,858

IRAN STALLING

WEEK AT A GLANCE

Aug 7-10, 2026

July NFP

-23K

vs +80K expected

S&P 500 Wk

+3.58%

Best since April

Nasdaq Wk

+5.19%

AI/chip recovery

Sept Hike

44%

Flipped from 57%

July NFP -23K vs +80K: September hike probability flipped

From 57% hike to 44% hike — hold is now the majority outcome at 56%. Wages 3.2% (below 3.5%). Revisions cut -103K more jobs.

S&P best week since April; Nasdaq +5.19% on AI + NFP relief

Atlassian +34%, Cloudflare +10%, Airbnb +12% on earnings. Gold hit 7-week high at \$4,244. 10-yr yield to 4.65%.

Iran FM rules out direct US talks Sunday — oil back to \$84

Hormuz deal not confirmed. Brent edging back up after falling to \$82 last week. Geopolitical premium on pause, not gone.

CPI Wednesday 8:30am is the week's defining data point

Built on \$80-95 Brent in July. Below 3.9% = Sept hold holds. Above 4.0% = hike back to 60%+, NFP relief erased.

JULY NFP: -23,000 — BIGGEST MISS OF THE CYCLE

July Payrolls

-23,000

vs +80K consensus

Combined Revisions

-103K

May -66K, June -37K

Wages YoY

3.2%

Below 3.5% est.

Sept Hike Odds

44%

Was 57% Thursday

READING THE REPORT: WHAT THE NUMBERS ACTUALLY SAY

● The -50K in local government education is seasonal

Summer school timing shifts cause this every July. Expected to largely reverse in August's numbers. Private sector actually increased modestly.

● The revisions are the real story

May was +129K, now +63K. June was +57K, now +20K. Combined -103K. The three-month average is now ~+20K/month — not a healthy labor market.

● Wages at 3.2% are the disinflationary gift

Coming in below both the 3.5% consensus AND the prior 3.5% reading. Wage growth cooling alongside a negative payroll print gives Warsh the justification to hold.

● The 4.1% unemployment rate is misleading

It fell from 4.2% but only because participation dropped to 61.4%. Fewer people looking for work — not more people finding it. Not a bullish signal.

LAST WEEK: BEST WEEK SINCE APRIL — STOCKS, GOLD, BITCOIN

S&P 500

+3.58%

Best week since April

Nasdaq

+5.19%

AI/chip stocks led

Dow Jones

+2.96%

ATH territory

Gold

+4.92%

7-week high, \$4,244

Bitcoin

+2.8%

Hit \$65,300 Aug high

10-yr Yield

-20bps

4.65%; risk-on

EARNINGS ADDED FUEL — AI SOFTWARE + CLOUD LAYER

Atlassian

+34%

Enterprise software; AI-adjacent

Cloudflare

+10%

AI edge compute demand

Airbnb

+12%

Consumer spending resilience

THE KEY SHIFT: SEPTEMBER HIKE PROBABILITY CHART

Jul 29 (FOMC)

~80%



Aug 1-3

~57-60%



Aug 7 (post-NFP)

~44%

OIL BACK UP TODAY — IRAN DEAL STALLING

BRENT CRUDE TRAJECTORY



IRAN DEAL STATUS: NOT DONE

- FM ruled out direct US negotiations Sunday
- Issued more restrictive Hormuz transit fee framework
- Iran wants joint Iran-Oman management (US won't accept)
- No signed agreement; Houthis still active in Red Sea

WHY OIL MATTERS FOR WEDNESDAY CPI

- July oil averaged \$80-95 Brent — Wednesday CPI reflects that, not today's \$84
- Each \$10 Brent adds ~0.3-0.4% to headline CPI; July average was ~\$20 above June
- If August oil averages \$80-84, August CPI (Sep 12) also re-accelerates
- Soft Hormuz deal = oil \$75-78 = disinflationary path; stalled deal = \$84+ = inflation risk

Below 3.7%

Sept: Hold ~70%+

BTC: +\$65,600 → \$67K

Both NFP and CPI soft = crystal clear hold. Warsh has maximum room at Jackson Hole. Bitcoin breaks EMA resistance.

3.7–3.9% (base case)

Sept: Hold ~60-65%

BTC: +\$65,600 test

Oil-driven re-acceleration but manageable. September hold stays majority. BTC tests but may not sustain above \$65,600.

4.0–4.2%

Sept: 50/50 split

BTC: Flat / -\$63K

Hike comes back into play. October FOMC becomes the live meeting. NFP relief partially erased. BTC rangebound to slight down.

4.2%+

Sept: Hike ~60%+

BTC: -\$62,500 test

NFP relief fully erased. September 16 hike very much on the table. Dollar bid. BTC tests critical support. ETF outflows likely.

WHY JULY SPECIFICALLY: Brent averaged ~\$80-95 during July (vs \$65-67 in June). Energy component will accelerate vs June 3.5% print. The NFP wage cooling (3.2%) partially offsets this — watch core ex-energy as much as headline.

CRYPTO OVERVIEW — BTC \$64,858, WAITING ON CPI

Bitcoin

\$64,858

+2.8% on week

+vs \$63,000 Mon

Ethereum

~\$1,940

+3.1% on week

Recovering

Fear & Greed

~40

Fear → Neutral

From 27 last Mon

BTC Dominance

57%

Capital in BTC

Not in alts

THE SETUP ENTERING CPI WEEK

- BTC hit \$65,300 August high Friday on the NFP print — the highest level since before the July 29 FOMC selloff. The 50-month EMA at \$65,600 remains the overhead resistance that has capped every rally this year.
- Sept hike at 44% vs 57% Thursday is the fundamental shift. Lower rate expectations = lower real yields = better environment for non-yielding assets like Bitcoin. But it's fragile — one hot CPI print reverses it.
- ETF inflows were \$626M in 3 days last week with IBIT at 80% of daily flow. Weekly total drops this morning. If week of Aug 3-7 prints positive, that's 4 consecutive positive weeks — the strongest sustained run since launch.
- CLARITY Act punted to September at earliest. Senate went to recess without a cloture vote. Year-end appropriations rider remains the most realistic path. This removes a near-term catalyst but doesn't change the fundamental demand picture.

THE SEPTEMBER FLIP: 57% HIKE → 44% HIKE IN 24 HOURS

BEFORE NFP (Thu Aug 6)

57%

Hike Probability



AFTER NFP (Fri Aug 7)

44%

Hike Probability (Hold = 56%)

WHAT THE FLIP MEANS FOR BITCOIN + ASSETS

● Lower real yields

When the hike probability falls, real yields (nominal minus inflation expectations) also fall. Lower real yields reduce the opportunity cost of holding Bitcoin, which pays no yield.

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● Dollar headwind eases

Rate differentials drive the dollar. Lower hike odds = weaker dollar. A weaker dollar is historically one of the most reliable bullish signals for Bitcoin.

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● CPI now the arbiter

The 44% hike probability is entirely dependent on Wednesday's inflation print. One hot number moves it back to 60%+. One soft number moves it toward 35%. Watch 8:30am Wednesday.

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JACKSON HOLE: 17 DAYS — WHY THIS YEAR IS DIFFERENT

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DAYS

Aug 27-29

'Financial Innovation: Implications for Payments and Policy'

- This theme is not accidental. The Kansas City Fed chose it specifically — it encompasses digital dollars, stablecoins, Bitcoin, and payment infrastructure reform.
- Warsh has historically written about fintech, digital money, and the Fed's role in payment systems. He is not a stranger to this topic. Jackson Hole gives him the platform.
- Previous Fed Chairs have never directly addressed Bitcoin or crypto at the Jackson Hole podium. Warsh in 2026 could be the first. Any such language would be historically significant.

THE DATA SEQUENCE FEEDING JACKSON HOLE

Wed Aug 13

July CPI

Determines Warsh's tone heading in

Thu Aug 14

July PPI

Corroborates or contradicts CPI

Fri Aug 15

July Retail Sales

Consumer health before JH

Aug 27-29

Jackson Hole

Warsh keynote — rate tone + digital assets?

OUTLOOK: CPI WEDNESDAY + \$65,600 DECISION POINT

Week Ahead

01

CPI Wednesday 8:30am

The Week's Binary Catalyst

- Below 3.9%: Sept hold stays majority, BTC tests \$65,600 EMA, stocks hold ATH gains. Watch core ex-energy as much as headline — that's Warsh's focus.
- Above 4.0%: Hike back to 60%+, NFP relief erased, BTC re-tests \$62,500, dollar rallies. All of last week's risk-on move gets called into question.
- Also this week: PPI Thursday, Cisco and Applied Materials earnings (AI infrastructure demand read), Retail Sales Friday.

02

Bitcoin's \$65,600 Level

EMA Resistance That's Held All Year

- Every rally in 2026 has failed at or near the 50-month EMA at \$65,600. BTC tagged \$65,300 Friday and pulled back. This level is the technical test that matters.
- 155,000 BTC accumulated between \$62K and \$65K.
- Soft CPI = those holders profitable = reflexive buying above EMA. Hot CPI = underwater = selling pressure.
- A sustained close above \$65,600 would be the most significant technical development Bitcoin has seen this entire cycle. CPI Wednesday is the catalyst.

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Jackson Hole — 17 Days

Aug 27-29: Policy + Crypto

- NFP + soft CPI gives Warsh room to be balanced rather than hawkish at the podium. That's the best outcome for risk assets heading into September.
- Theme 'Financial Innovation: Implications for Payments and Policy' — any digital assets language from Warsh would be historically significant. First time.
- The sequence that takes us there: CPI → PPI → Retail Sales → August NFP (Sep 4) → September FOMC (Sep 16-17). Wednesday is the first domino.